

FX Daily: Back to escalation

We have seen the first part of the de-escalation trade in FX. The second – another USD leg lower – requires greater clarity on Strait of Hormuz reopening plans, which currently appear distant after the headlines overnight. A new wave of escalation is now driving EUR/USD down again. Any downside surprise in tomorrow's US data could support more Fed repricing



Another USD leg lower requires greater clarity on Strait of Hormuz re-opening plans, which appear more distant once again after Trump's latest address to the nation

The next FX Daily will be published on Tuesday 7 April

USD: Return to risk-off sentiment supports the US dollar again

USD bearish trades gathered further momentum yesterday on optimism around a potential Middle East de-escalation. However, it didn't get far after a new wave of escalation in US President Donald Trump's speeches to the nation indicated more weeks of fighting, returning a risk-off sentiment to the market today and reversing most of the recovery from the last two days.

President Trump said Iran has requested a ceasefire, though he stressed this would be contingent on the reopening of the Strait of Hormuz. This marks a shift in Trump's narrative relative to recent days, when he had suggested a willingness to distance the US from decisions surrounding the

Strait's fate.

We'll hear from the Federal Reserve's Lorie Logan and Michelle Bowman today, but Monday's dovish-leaning comments by Chair Jerome Powell will continue resonating loudly with markets. Tomorrow's non-farm payrolls can have decent impact potential. They won't be telling us too much about the war's impact on jobs yet, but they could shed more light on the state of the labour market amid the shock, which could materially steer the Fed's assessment at this stage.

Yesterday's ADP payrolls were stronger than expected at 62k, and the ISM manufacturing employment index was almost unchanged at 48.7 in March. Consensus for the NFP is 65k, our macro team's call is 60k and the Bloomberg whisper number is now 40k. We agree with consensus that unemployment will remain at 4.4% – any material jump here can have an outsized impact.

Watch for reduced liquidity conditions tomorrow and Monday due to the Easter holidays.

Francesco Pesole

📉 EUR: Back to 1.150 levels on a wave of lost hope

With the conflict re-escalating and oil prices well above \$100/bbl again, EUR/USD sees another dip back well above 1.160 and reaching 1.150 this morning, not far from local lows.

It's worth noticing that CFTC data suggests a neutral speculative positioning on EUR/USD as of 24 March, as opposed to stretched net-longs earlier in March. Other things equal, it suggests better sustainability of a EUR rally if we see any de-escalation over the weekend.

Ultimately – as stressed [yesterday](#) – the European Central Bank's stance during this de-escalation phase remains key for the euro. Markets are tempted to unwind tightening bets further, but the ECB's hawkish rhetoric may prevent pricing from falling below two hikes (now 67bp) unless policymakers signal some flexibility towards a more dovish rhetoric. If that doesn't happen, the euro could emerge as an outperformer in the coming days.

Francesco Pesole

📉 GBP: A rate protest from Andrew Bailey

Bank of England Governor Andrew Bailey appeared to deliver a rate protest in an exclusive interview with Reuters yesterday. He emphasised that markets were 'getting ahead of themselves' in pricing a series of rate hikes this year. The surge in short-dated UK rates during this Middle East crisis, fuelled by what was perceived as a very hawkish MPC meeting on 19th March, has clearly damaged both business and consumer confidence. A key takeaway from yesterday's interview was that the BoE should fulfil its remit in a way that causes the least damage to the economy and the people. We saw a more than 100bp rise in two-year swap rates last month, and the BoE's role in that spike is clearly an issue.

Whether Governor Bailey is successful in putting the hawkish genie back in the bottle will depend on the data. Today sees the release of the important BoE Decision Maker Panel (DMP) survey – a survey of 2,000-2,500 CFOs. Of key interest will be what CFOs are thinking about pricing power. Input costs will have gone up, of course. But will CFOs feel that selling prices and wage costs will rise too?

We are in Andrew Bailey's camp with the view that a growing output gap and weak pricing power mean that there are limited chances of second-round effects from this energy supply shock. Were the DMP to confirm this, with, say, expected selling prices remaining near 3.0% year-on-year and wage costs at 3.5/4.0% YoY, we suspect the market can further rein in the near 50bp of expected BoE tightening this year. If so, EUR/GBP could make its way back to the 0.8790/8800 area – where it was trading at the end of February.

Chris Turner

⬇ CEE: Far from relief

The region is preparing for a long weekend, with the Czech Republic and Hungary closed for trading on Friday. Given the uncertain geopolitical environment, this should lead to a reduction of risk ahead of the extended week despite the risk-on sentiment in the last two days.

The calendar doesn't have to offer today, except for a government meeting in the Czech Republic, which may see a discussion of potential measures to protect households from higher fuel prices, with a margin freeze on the table.

Turkey will release its March inflation on Friday. We expect a slowdown from 3.0% to 2.2% month-on-month, but still a higher reading than before the fuel shock, resulting in an increase from 31.5% to 32.2% YoY. This should confirm that Central Bank of Turkey rate cuts are not on the table at this time – at least for the next few months, until more clarity is seen on the impact of oil prices and the development of domestic inflationary pressures.

CEE FX saw some relief yesterday as the zloty and koruna joined the forint rally, but as global headlines suggest, we are still far from any visible relief. EUR/PLN and EUR/CZK remain close to their local highs, and we can expect some reversal in the recent EUR/HUF slide of the past few days. Getting back to 390 could be too far.

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